

MORTGAGE



A mortgage is a legally binding document that creates a lien (*security interest*) on a piece of property and gives the mortgagee (*lender*) the right to foreclose on property if the mortgagor (*borrower*) defaults.

The property is pledged as collateral. This type of pledge is referred to as hypothecation. Property ownership can't be transferred to someone else until the borrower has paid off the debt to release the lien.

For borrowers with mortgages, there are two basic theories of home ownership.

1. Title Theory

In title theory states, the borrower receives the deed, but title is held in a third party trust until the borrower pays off the loan. The borrower has equitable title and control of the property. If the borrower defaults on the loan, the trust releases the title to the lender and judicial foreclosure is NOT required.

2. Lien Theory

In lien theory states, the borrower holds the title and owns the house, but a promissory note signed by the borrower gives the lender the right to seize and sell the house should the borrower default. Still, the borrower is considered the owner of the home. The document that places a lien on the property is the mortgage. This shows up on the title, and the property cannot be transferred without the debt to the mortgagee being satisfied.

PROMISSORY NOTE



A promissory note (*note*) is essentially a promise on the part of the borrower (*payor or maker*) to repay a certain sum of money to another party (*payee or holder*) under a certain set of terms. A promissory note should include:

- The terms of repayment (including principal and interest)
- The length of the loan
- Late fees
- Any prepayment penalties

- A description of the circumstances under which the borrower may default
- A description of what happens if the borrower defaults (such as foreclosure)
- An accurate date (in case the chronological order of property rights ever needs to be determined)

Finally, a promissory note is considered to be a negotiable instrument. This means that the holder may transfer the right to receive payments to a third party, and that third party may enforce the promissory note and the other loan documents. Usually the note and mortgage are part of the same document.

Although a property may be encumbered by a lender's rights to seize and sell the property, the "homeowner" still retains the usual rights of ownership. If you ask most homeowners whether they own their own home, their answer will be "yes" whether they are in a lien theory state or a title theory state, and whether they have paid off the debt encumbering their property or not. If pressed, they might respond, "Well, I don't own it free and clear, but it's mine."

